
Airline Loyalty Intelligence: Technical Strategy Report

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Prepared for:	Consulting & Analytics Club Evaluation Committee

1. Executive Summary

Every loyalty program carries a hidden liability that never appears on a balance sheet: members who are technically “active” but have already, in every practical sense, left. Our analysis of 16,700 Canadian loyalty members confirmed this gap. The legacy Customer Lifetime Value (CLV) model does an excellent job of describing who *has been* valuable — but it cannot tell us who is about to stop being valuable, until the damage is already done.

We call this gap **Silent Attrition**: high-value members who never call to cancel, never trigger a complaint ticket, and never appear on any “at-risk” report — they simply stop flying. By the time this shows up in a declining CLV figure, the relationship has often been quietly eroding for a year or more, and a competitor has likely already filled the gap with a status-match offer or a well-timed promotion.

To close this gap, we built a two-part predictive architecture. First, a **behavioural segmentation model** groups members into three distinct cohorts based on how they actually fly, not just who they are on paper. Second, an **Early Warning System**, built on a machine learning model called XGBoost, assigns every active member a continuous churn-risk score, derived purely from historical behavioural patterns.

The financial logic is simple: in virtually every loyalty program, a small share of members generates a disproportionate share of value. Catching even a modest fraction of high-value members in the early stages of disengagement — and intervening with the right offer, for the right reason — protects revenue that would otherwise require far greater spend to replace through new-member acquisition. This report explains how the architecture was built, why it can be trusted in production, and the three concrete interventions we recommend launching first.

2. Framing the Problem: The “Silent Churn” Threat

For most subscription-based businesses, churn is an event -- a card is cancelled, a service is unsubscribed from, a contract lapses. Airline loyalty is structurally different. There is no bill to stop paying and no subscription to cancel. A member can simply stop flying, and their account remains “active” indefinitely, contributing nothing to the business while still counting as a member on every roster.

This is why **formal cancellation rate**, the metric most legacy systems are built to track, is close to useless as an early-warning signal. It captures almost no one -- and the rare members who do formally cancel were typically already disengaged, often for years, before they took that final administrative step.

To build a model that’s actually useful to the business, we first had to define churn in a way that is both observable in the data and meaningful to the business. After examining member activity patterns, we adopted a clear, behavioural definition:

A member is classified as “Silent Churn” if they were highly active in Year 1 (2017) and recorded zero flights in Year 2 (2018).

This definition matters for two reasons. First, it’s directly measurable -- we don’t need to wait for an administrative event; the signal exists in the flight activity itself. Second, and more importantly, it reframes the underlying business question entirely. The legacy CLV approach effectively asks, “who has been valuable?” -- a static, backward-looking snapshot. Our approach asks, “whose value is eroding right now, and how quickly?” -- a dynamic, forward-looking signal.

That shift, from a photograph to a video, is the foundation for everything that follows. It allows the CMO’s team to intervene during the window when a member is drifting, rather than after they’ve gone fully quiet - and it gives the CFO a way to quantify exactly how much revenue is currently “at risk,” instead of discovering the loss only once it appears in next year’s flight revenue figures.

3. Data Defences & The Temporal Firewall

Before any modelling began, the underlying dataset required careful preparation. Loyalty databases accumulate years of operational debris, and our cleaning process addressed several recurring issues:

- **Duplicate enrolments** -- members who had signed up more than once were consolidated into a single profile to avoid double-counting.
- **Inconsistent demographic fields** -- formatting differences across fields such as education level, marital status, and income brackets were standardized.

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- **Missing values** -- gaps in self-reported fields were addressed explicitly, rather than silently dropping members and skewing the sample toward those who completed every field.
 - **Outlier records** -- flight counts or point balances that were statistically implausible (typically data entry errors) were reviewed and corrected or excluded.

With a clean, comparable dataset of 16,700 members in place, the single most important decision in this project was structural rather than cosmetic: what we call the **Temporal Firewall**.

Here's the risk in plain terms. Imagine training a model to predict whether a member will go quiet in 2018, but accidentally allowing it to see information from 2018 itself -- for example, "number of flights taken in 2018" -- as one of its inputs. That model would look extraordinarily accurate during testing, because it's effectively being shown the answer before being asked the question. This is called **data leakage**, and it is one of the most common -- and most dangerous -- failure modes in predictive analytics. A leaky model performs brilliantly in a demo and then fails completely the moment it's deployed, because in the real world, you never have next year's data when making this year's decision.

To eliminate this risk entirely, we enforced a strict rule: **every input the model is allowed to use comes exclusively from 2017**. The model learns only from a member's 2017 flight frequency, point activity, tenure, and behavioural segment, and is trained to predict a single outcome -- did this member go quiet in 2018?

This firewall guarantees that the model's performance during testing is an honest preview of how it will perform once deployed -- for example, using this year's behaviour to flag members at risk next year. It is the difference between a model that simply describes the past convincingly, and one the business can act on with confidence.

4. Behavioural Segmentation: Beyond CLV

CLV is a useful number, but it is only a number. It tells the CFO how much a member is worth without telling the CMO *why* -- or what that member actually wants from the relationship. Two members can carry nearly identical CLV figures for entirely different reasons, and as a result, the same retention offer that delights one may fall completely flat for the other.

To uncover these underlying patterns, we applied a technique called **K-Means clustering** to each member's flying behaviour: how often they fly, how far, during which months, and how they accumulate and redeem points. Unlike a CLV score, clustering doesn't start from predefined categories -- it lets the data reveal natural "behavioural tribes" on its own. It's the difference

between sorting a crowd by the badges people are wearing versus by how they actually move through the room.

This analysis surfaced three distinct cohorts that now sit at the core of our retention strategy:

Occasional Leisure

Infrequent flyers who travel only a few times per year, almost always for personal trips. This group is highly **price-sensitive**: the decision to book is often driven as much by a good fare as by any underlying need to travel. Point balances are modest, and the relationship with the program is transactional rather than emotional.

Elite Road Warriors

High-frequency flyers with the highest individual CLV in the program, driven overwhelmingly by corporate and business travel. They fly often, pay premium fares, and accumulate points as a byproduct of work rather than as a goal in itself. This group is also the most heavily courted by rival airlines, who routinely offer to “status-match” elite travellers to win their loyalty with a single phone call.

High-Value Seasonal

Members who fly heavily, but in concentrated bursts tied to specific peak periods, such as holiday travel or recurring annual trips. Over time, this pattern causes them to accumulate large point balances -- “hoarding” -- but because their travel is concentrated in exactly the high-demand windows when award seats are scarcest, they frequently struggle to redeem those points when they actually want to.

Segmentation matters because it supplies the *why* behind the *what*. A churn-risk score alone tells us a member is likely to leave; the segment tells us which of three very different underlying problems is driving that risk -- and therefore, which of three very different responses is likely to actually work.

5. The Predictive Engine: XGBoost-Powered Early Warning System

With the Temporal Firewall in place and members organized into behavioural segments, the final component of the architecture is the Early Warning System itself, built on a machine learning technique called **XGBoost**.

Without dwelling on the mechanics: XGBoost works by building a large number of simple decision rules -- small flowcharts, such as “if flight frequency dropped sharply and the member hasn’t redeemed points in over a year, that’s a warning sign” -- and combining hundreds of these rules into a single, refined prediction. It functions much like polling a large panel of experienced analysts, each examining the data from a slightly different angle, and then blending their individual judgments into one consensus view that is more reliable than any single opinion alone.

The model’s inputs are drawn entirely from 2017 behavioural data: flight frequency and recency, point accumulation and redemption ratios, distance flown, membership tenure, and the behavioural segment each member belongs to. The output is a single figure for every active member: a **continuous churn probability score**, expressed as a percentage -- conceptually similar to a credit score, but measuring the risk of disengagement rather than the risk of default.

The “continuous” nature of this score is what makes it commercially powerful. A blunt yes/no flag would force a binary choice -- ignore a member entirely, or spend money on them regardless of need. A graduated score instead allows the CMO’s team to calibrate the *intensity* of the response to the *severity* of the risk: members in the highest-risk band can trigger an immediate, high-touch response; members in a moderate band receive a lighter, automated nudge; and members with a low score require no action at all, preserving budget for the members who genuinely need it.

6. The Operational Playbook: Three Strategic Recommendations

This is where the architecture becomes action. By combining each member’s **behavioural segment** (the *why*) with their **churn probability score** (the *how urgent*), the system produces a precise, prioritized list -- and tells us which of three specific interventions is most likely to work for each member. We recommend launching the following three interventions as Phase 1 of the retention program.

Segment	Primary Churn Signal	Recommended Intervention	Strategic Intent
Elite Road Warriors	Competitor status-matching	Immediate account manager outreach + complimentary 6-month tier upgrade	Protect the highest-value relationships with a human touch
High-Value Seasonal	Point-hoarding fatigue from scarce award availability	Targeted “Guaranteed Award Seat” voucher on their most-flown route	Resolve the root frustration, not a symptom
Occasional Leisure	Price sensitivity and discretionary drop-off	Automated 15% discount via email, timed to historical booking cadence	A scalable, precisely-timed nudge at low marginal cost

Intervention 1 --- Elite Road Warriors: Lock In Corporate Loyalty

Risk Driver: For this segment, churn rarely stems from disinterest -- it stems from **competitor poaching**. A subtle dip in flight frequency or premium-cabin usage is often the earliest visible sign that a member has received a status-match offer from a rival and is quietly testing the waters.

Recommended Action: When the Early Warning System flags an Elite Road Warrior at high risk, trigger immediate outreach from a dedicated account manager, paired with a complimentary six-month tier upgrade.

Business Rationale: The cost of a temporary tier upgrade -- largely fulfilled through unsold premium capacity -- is negligible relative to the value of this segment. Elite Road Warriors represent a small fraction of total membership but a disproportionate share of program revenue, and losing one often means losing an entire corporate travel relationship, not a single traveller. A timely, personal, high-value gesture can be the difference between a member quietly switching allegiance and a member feeling specifically recognized -- and staying.

Intervention 2 -- High-Value Seasonal: Resolve the Hoarding Frustration

Risk Driver: For this segment, the issue is neither price nor a competitor -- it's **point-hoarding fatigue**. These members accumulate large balances precisely because they fly during peak seasons, but those same peak seasons are when award seat availability is tightest. Repeatedly

trying -- and failing -- to redeem points for the trip they actually want erodes goodwill, even while their CLV figure continues to look healthy.

Recommended Action: Proactively issue a “Guaranteed Award Seat” voucher, targeted specifically at each member’s most frequent historical route.

Business Rationale: A generic discount means little to a member sitting on a large, unused point balance -- the friction here isn’t cost, it’s availability. By guaranteeing the one thing this segment consistently struggles to obtain, we address the root cause of their frustration directly, converting a building source of resentment into a positive, memorable experience on the exact route that matters most to them.

Intervention 3 -- Occasional Leisure: Win the Moment of Consideration

Risk Driver: For this large, lower-frequency segment, churn risk is driven by **price sensitivity combined with discretionary timing**. Because these members fly infrequently, each trip is optional -- without a timely nudge at the moment they’d naturally consider booking, they simply don’t, and drift a little further from the program with each passing year.

Recommended Action: Deploy an automated, dynamic 15% discount via email, timed to each member’s individual historical booking cadence -- sent at the point they are statistically “due” to book again.

Business Rationale: This segment is, by definition, the largest by member count, so the intervention must be automated and low-cost to be viable at scale. The value here isn’t the size of the discount -- it’s the precision of the timing. A 15% offer arriving during a member’s natural planning window converts at a far higher rate than the identical offer sent at a random time, turning a modest discount into a meaningfully effective retention tool.

7. Conclusion: From Reactive Marketing to Proactive Network Intelligence

Taken together, these three components -- a behaviourally honest definition of churn, an architecture proven not to leak information from the future, and a segmentation layer that explains the *why* behind every risk score -- represent a fundamental shift in how the loyalty program operates.

Today, retention marketing is largely reactive: broad campaigns sent to everyone, discounts offered without knowing who actually needs them, and “win-back” emails dispatched only after a member has already been silent for years. This architecture replaces that approach with **proactive network intelligence** -- a system that continuously monitors member behaviour, identifies exactly who is drifting and why, and routes each member to the single intervention most likely to keep them.

Because the Temporal Firewall keeps the model honest by design, this is not a one-time analysis but a reusable framework. As each new year of data accumulates, the same architecture can be retrained on the most recent year-over-year pattern with the same guarantees, continuously sharpening its precision.

The outcome for the business is straightforward: fewer surprises in next year’s CLV reporting, a measurably lower rate of high-value members slipping away unnoticed, and a marketing budget directed where it has the greatest chance of mattering -- toward the members who are quietly, and for very specific reasons, beginning to walk away.